



English, Economics, Politics, and Philosophy

Unit 1 Evolution of Economics Lesson 1.5:

Entrepreneur, Innovation, & Schumpeter

manager and the boss new ideas

but

Part I

“they are the creative one”

Pertinent Concepts

- Entrepreneur vs Entrepreneurship (recalling factors of production)
- Innovation vs Invention
- The Sexy Economist—Joseph Schumpeter
- Creative Destruction

Learning Goals:

- I will be able to differentiate entrepreneur and entrepreneurship
- I will be able to distinguish innovation and invention
- I will learn about the life of Joseph Schumpeter
- I will comprehend the rationale of ‘creative destruction’

Success Criteria:

- I can discuss the importance of creativity in nowadays settings.

price = cost + profit ==> cost (-); they either earn more profit, or they lower the price and attract more customers

MINDS ON

Assume pizza is identical regardless of the producer

Imagine a **scenario** where a person combines two existing techniques

together—let's say AI and Pizza processing are 'modified' together, so **workers**

that we no longer require **labour** (variable cost) for the production (the

cost is now lower!!). What may happen to the **old pizza industry?**



The old pizza industry will probably lose money and probably close down (shut down).

The new pizza business will earn more money! so it will not shut down; it can survive for a few additional years

Earn more profit:

$$P_0 = 12 = (\text{cost})8 + (\text{profit})4$$

$$P_1 = 12 = (\text{cost})6 + (\text{profit})6$$

total profit goes up

Actually more customers will buy

Lower the price:

$$P_0 = 12 = (\text{cost})8 + (\text{profit})4$$

$$P_1 = 12 = (\text{cost})6 + (\text{profit})6$$

total profit goes up

ACTION

I. Entrepreneur vs Entrepreneurship

A. Entrepreneur

- Definition:

- An individual who identifies a business opportunity and organizes the resources needed to **exploit** it.

- Characteristics: **use/seize the opportunity**

- **Risk-taking:**

- Willing to take **financial and personal risks.**

- Innovation:

- Developing **new ideas** or finding **new ways to improve products or processes.**

- Leadership:

- Ability to motivate and manage a team.

B. Entrepreneurship

ship - The mindset, spirit, climate, mentality, or instinct of an entrepreneur. Entrepreneurs bear the risk and challenge the **established production of techniques**. They are the hero of economy – according to Schumpeter

II. Innovation vs Invention

Invention: An invention is the creation of a new product, service, or process that has never existed before. It's born from an idea or a discovery and often results in a tangible outcome like a prototype or a patent. legal exclusive right (i.e. 版權)	Innovation, on the other hand, involves improving or making significant changes to existing products, services, or processes. It can also be the implementation of something new or significantly improved in the market or society.
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Examples:

- Invention: The **light bulb, telephone**, or the first **airplane** are classic examples of inventions – they introduced new technologies to the world.
- **Innovation**: The **smartphone** is an innovation, not an invention. It significantly improved and combined existing technologies (**telephone, computer, camera**) in a new way.

Interdependence

- Whilst distinct, invention and innovation are **interdependent**.

Inventions can lay the groundwork for future innovations.

Conversely, innovation can lead to new inventions by identifying unmet needs or technical limitations in existing products.

EXERCISE: Now imagine you are going to open your own business,¹ what kind of “innovations” would you introduce?

¹ A business is defined as the organized efforts aiming at profit maximization.